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**Act No. 128 (S.327). An act relating to economic development**

**Subjects: Economic development; conservation and development; commerce and trade; business growth study; convention center task force; VEGI; culinary education; apprenticeships; Rural Industry Grant Development Program; nickel rounding; C-PACE**

This act requires the Commissioner of Economic Development to study and report back to the General Assembly on how the State can better enable and support the growth of Vermont businesses. This act also makes a few minor changes to the Convention Center and Performance Venue Task Force, including the addition of one new member to the Task Force.

This act additionally repeals the prospective repeal of the Vermont Economic Growth Incentive (VEGI) Program, which was set for January 1, 2027. The act lowers the annual cap for new VEGI awards from \$10 million to \$5 million.

This act also requires the Department of Labor to study and report back to the General Assembly on how to best develop postsecondary educational programs in the fields of culinary arts and hospitality. The act also requires the Department of Labor to establish a two-year hospitality and culinary apprenticeship training program, which will include multiple employers, be structured to rely on existing resources, and include structured work-based learning.

This act repeals the session law that originally created the Rural Industry Development Grant Program and then recreates the Program in statute with a few changes. An award for the Program may now be issued to an applicant for improvements to a federally impacted property. It also allows the Agency of Commerce and Community Development to issue a higher award for an applicant that meets certain requirements.

This act also allows a business to round a final cash transaction to the nearest increment of \$0.05. The authority to round does not include electronic payments, payments of wages, or rebates. All taxes and fees are to be calculated and remitted based on the prerounding amount. The Commissioner of Liquor and Lottery will provide a model notice that businesses that choose to round must post at a conspicuous location.

This act additionally creates the ability for a legislative body of a municipality to designate the municipality as a commercial property-assessed clean energy (C-PACE) district. This would allow a property owner of a commercial or industrial building to finance the upfront cost for qualified energy, water, and resilience projects with funding through a voluntary assessment on the property tax bill. An entity that administers the C-PACE Program is referred to as a program administrator, which can be the municipality, a public agency, or a private entity. Other than the fulfillment of its obligations specified in a C-PACE agreement, neither the program administrator nor a municipality has any

liability to a commercial property owner for or related to energy savings or resilience improvements financed under a C-PACE Program.

Effective Date: June 8, 2026